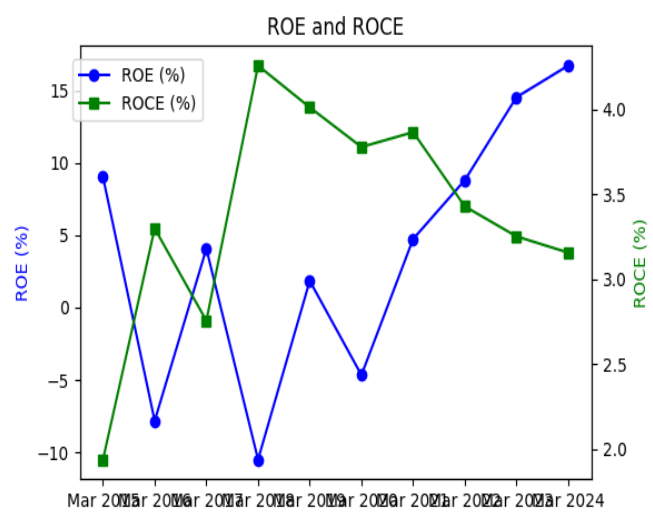
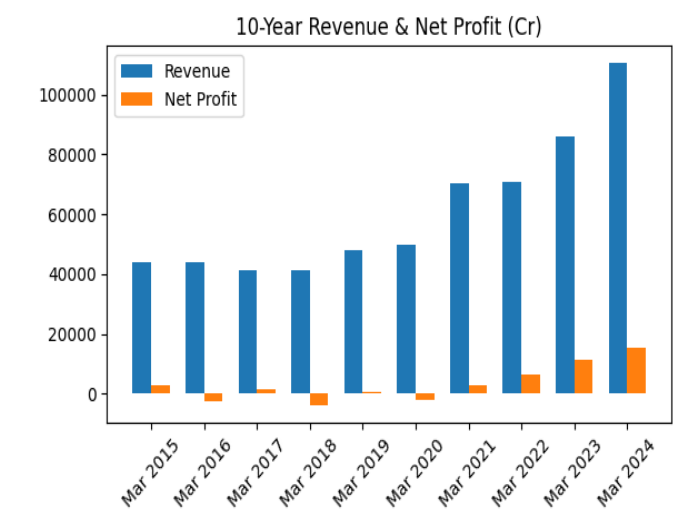
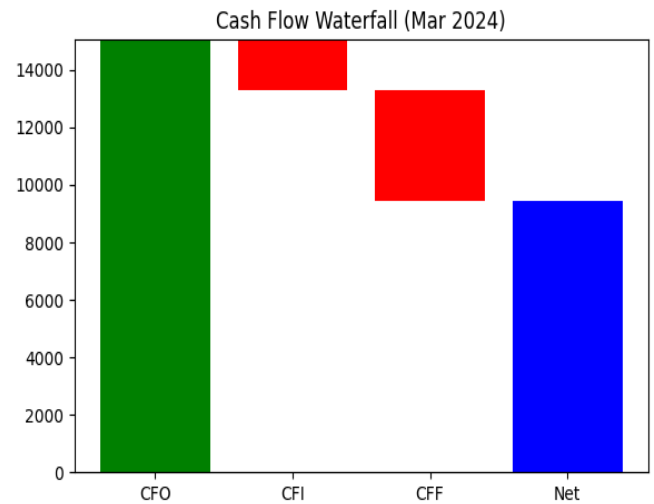
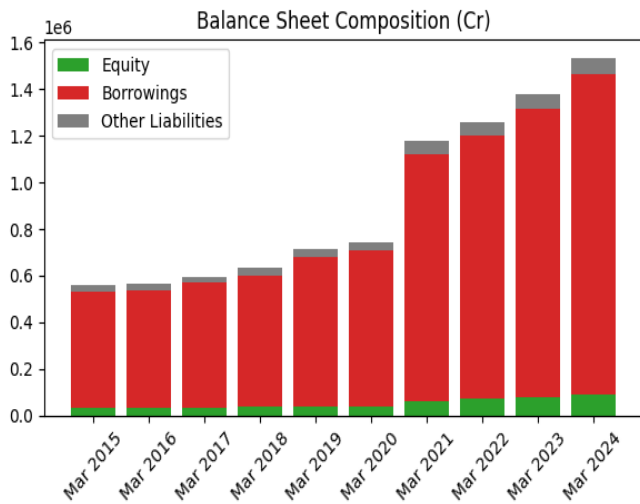


Canara Bank (CANBK)

Revenue ■119,392 Cr	Net Profit ■16,571 Cr	ROE 16.7%
ROCE 3.2%	CFO Quality High Quality	Allocation Shareholder Returns





Pros

- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Consistent dividend yield above 2% backed by positive free cash flow
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable

Capital Allocation Pattern: Shareholder Returns